



Helios Income Note 2007-B

Northstar Ratings - Pre-Sale Committee Snapshot

18 September 2006

SENIOR AAA-EQUIVALENT / STABLE

MEZZANINE BBB-EQUIVALENT / WATCH

QUARTERLY SURVEILLANCE

1. Rating Summary

SENIOR TRANCHE

AAA-eq.

Stable outlook

MEZZANINE TRANCHE

BBB-eq.

Watch

LOSS CUSHION

21%

Senior absorption

SURVEILLANCE

Quarterly

Standard cadence

Committee item	Result
Senior tranche rating	AAA-equivalent / Stable
Mezzanine tranche rating	BBB-equivalent / Watch
Base housing price assumption	-5%
Severe housing price assumption	-12%
Senior loss absorption cushion	21%
Default correlation assumption	12% base case
Surveillance frequency	Quarterly



Rating Rationale

Senior tranche is supported by subordination, excess spread, cash reserve, and diversified collateral.

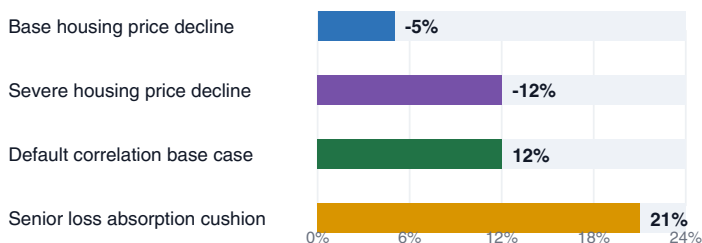


Committee Note

Refinancing access is monitored; major deterioration may change delinquency assumptions.

Stress Assumption Check

Committee inputs shown as percentage-point assumptions



Tranche Rating View

Senior remains stable; mezzanine is on watch

AAA

— Senior tranche

AAA-equivalent / Stable

AA

A

BBB

— Mezzanine tranche

BBB-equivalent / Watch

Surveillance Frequency

Quarterly surveillance, with monitored refinancing and delinquency inputs



Committee monitoring item

Refinancing access remains monitored; major deterioration may require updated delinquency assumptions in a later surveillance cycle.